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Island hard-luck mine reviving

By R. M. SHAW

The old Sunro copper mine at Jordan River on Vancouver Island is headed for production again after 10 years of misfortune.

Pechiney Development Ltd., the Canadian exploration arm of a powerful French company, has spent $500,000 on a program which checked out and confirmed the ore reserves and has undertaken to spend another $1,750,000 or whatever is required to start production.

The lease on the property, from Cominco and running to 2000 A.D., is held by Crownex International Ltd. through a wholly owned subsidiary, Dison Development Ltd. Pechiney will earn a 60 per cent interest by achieving production.

The mine, which has the only underground mill in Canada, has produced about 21 million pounds of copper, which had a gross value of around $8 million. It's main production period was the two years 1962-63, until a flood on Dec. 6 of the latter year. It has had two short production periods since.

Pechiney has completed it's own feasibility study, has committed the financing and undertaken to equip and operate the mine.

Just one key decision is awaited — a permit from the provincial pollution control board for disposal of mill tailings.

It is proposed to pipe the tailings into the Strait of Juan de Fuca where they were disposed of in the previous operations. Because of the new emphasis on the ecology, Pechiney has engaged consultants and, based on their recommendations, has made a proposal to the pollution board.

The strait is well known as an area of strong currents and, at times, strong wave action. Pechiney's principal consultant was James Murray, head of the UBC department of oceanography.

"Studies were made of the beach area, the sea bottom and the tides and currents," said Charles E. Campbell, mining engineer in charge of the project for Pechiney. "Although 800,000 tons of tailings were dumped on the beach at the foot of a cliff in the previous operations, it has all been washed away and can't even be found on the bottom.

"Biological tests show that the sea life appears normal. Tracers have been used to check the tides and currents. We have been advised that, if the tailings are piped to a point below low tide, they will be carried about two miles before they settle. Tests indicate no unfavorable toxic effect.

"We have met all the requirements of the board and are now awaiting it's decision. After we get a permit we should be in production at the rate of 600 tons a day in four months and in full production at 1,500 tons a day within a year."

Crownex recently obtained a revised development-production agreement with Pechiney. Associated with the latter is Asmas, Fergusson, Wild, Ltd., metal brokers.

Under the previous agreement Pechiney was to provide $500,000 for exploration work. The additional funds for production, estimated at $1,750,000 were to be provided 50-50 by Pechiney and Crownex, with profits to be divided in that ratio.

In the new agreement Pechiney will put up all the funds to production and profits will be divided 60 per cent to Pechiney and 40 per cent to Crownex. Pechiney is entitled to return of $1,750,000 out of first cash flow but the original $500,000, already spent, is not included and need not be repaid at all. Any advances in excess of $1,750,000 will be repaid out of 80 per cent of cash flow with the remaining 20 per cent divided 60-40.

Pechiney conducted it's feasibility study through the past winter, October to April, carrying out 3,000 feet of underground drifting, crosscutting and raising and 4,000 feet of diamond drilling. The result of this was to establish proven and probable ore of 1,757,000 tons grading 1.21 per cent copper after 20 per cent dilution.

In addition a detailed geological survey was carried out by John S. Vincent, geological consultant, who calculated additional "possible" ore of 1.97 million tons grading 1.16 per cent copper on an undiluted basis. Vincent reported that the geologic potential of the property is "excellent" and that an effective exploration program has never been carried out.

Estimates of the total funds required for production run about $3,250,000. This includes $500-000 already spent on the winter feasibility work, $500,000 to replace and rebuild the mill machinery, $1,450,000 for mining and surface equipment and underground development and $1 million for working capital. The working capital presumably could be borrowed from banks or metal buyers.

In the previous production runs 827,000 tons of ore were milled with heads (grade) of 1.36 per cent copper, recovery of 94.5 per cent and a concentrate grade of 26 per cent.

Crownex recently obtained $135,000 from an underwriting by Hemsworth, Turton and Co. Ltd., to be used mostly to discharge liabilities.

With the underwriting there are 2,250,401 shares issued and outstanding including 500,000 held by Sidney B. Fowlds, president, and Edward C. Dobell, vice-president, on an investment letter. Included also are 250,000 shares which are mostly issued but of which about one-third are held for issue to shareholders of two predecessor companies — Cerna Copper Mines Ltd. (1 for 4) and Cowichan Copper Co. Ltd. (1 for 20). In addition 1.5 million shares of Crownex are reserved for issue to Fowlds and Dobell when the mine is in production. These and the letter stock are for the acquisition of Dison and the lease.

When the mine is in production it will employ about 100 men, all of whom can live in Jordan River, Sooke, Port Renfrew and other nearby communities. Method of shipping concentrates is not yet decided. Former production was trucked 50 miles to Hatch Point and loaded on bulk cargo ships but possible use of containers may change the pattern.

The Sunro mine has a long and interesting history. It was staked in 1915 by George Winkler, a Victoria prospector. Subsequent exploration was done by two companies, Sunloch Mines and Gabbro Mines, controlled by Cominco and Noranda, respectively. In 1956 they were combined under Sunro Mines Ltd., controlled by Cominco and now owner of the property.

The mill, installed in a tunnel 8,000 feet from the portal, has it's own history. Most of it came orgiinally from Granby's Copper Mountain, was used at Spillimacheen by Giant Mascot and moved to Vancouver Island by Ossie MacDonald's Cowichan Copper Co., first used at Cowichan Lake and later at the Sunro. Most of it will now be replaced.

THE PROVINCE BUSINESS

BOB McMURRAY, Business Editor

20*** Saturday, May 22, 1971

Italy's airline chief travels surface here

By JOHN CONDIT

At least two foreign airline presidents were inspecting Vancouver and vicinity Friday as tourists.

Bruno Velani, chairman and president of Alitalia, known as the father of the Italian airline, stepped into his business role long enough to visit the office of his line here at 1014 West Georgia.

Also visiting the city was Dr. Oscar Machado-Zuloaga, president of Venezuela Aviacion, S.A., the Venezuelan national line.

Both will attend a meeting in Banff Monday and Tuesday of the 21-member executive committee of the International Air Transport Association, which represents 107 of the world's airlines.

The meeting will be "strictly an internal, housekeeping session," said Don B. Pengelly IATA director of information services for the Western Hemisphere, who was telephoned at his Montreal office. He did not anticipate that it would create any news.

The president of IATA also is due at Banff; he is Lt.-Gen. A. M. Khademi, managing director of Iranair, the Iranian national line.

"These fellows are the world's greatest tourists," said Pengelly. "You'd think they'd get tired of travelling, but they never do."

Out from Montreal with his president, Nino A. Tommasi, Canadian public relations manager for Alitalia, said Velani just wanted to see what Vancouver and Victoria had to offer for tourists. He didn't want to be interviewed.

"He is visiting Vancouver and Victoria on his own," Tommasi said. But Velani always was absorbing the possibility of new markets, he said.

Velani, an engineer, is a veteran of civil aviation. Alitalia is not a government airline, strictly speaking, but its holding company is 75 per cent owned by the Italian government.

The father of Italy's big airline, however, won't be flying out of Vancouver. He will take the train to Banff, said Tommasi, because of the beautiful scenery.

GM dissidents steamrollered

Province News Sources

DETROIT — Majority stockholders Friday overwhelmingly defeated proposals to alter General Motors' structure and force an end to its South African operations.

Dissidents picked up far less support than they anticipated but they claimed a moral victory toward furthering the debate. The defeat followed a pledge by GM board chairman James M. Roche that the company was making an all-out commitment "to take the automobile out of the air pollution problem."

To do this, Roche told the longest shareholders meeting ever, GM plans to spend $150 million — an increase of $26 million over the previously announced figure — to clean up exhaust pollution.

Roche's announcement came shortly before the voting on proposals put forward by Campaign GM. The group, which owns just 12 of GM's 286 million shares of stock, failed to gain even the 3 per cent shareholders' support on the proposals it had hoped for.

The proposal which backers were almost optimistic about — one which would force GM to disclose more details about pollution control and vehicle dafety developments, minority hiring and recall campaigns — received only 2.36 per cent of the shareholder vote.

Roche's announcement of the additional spending on pollution control apparently was timed to take some of the steam out of the campaign.

"The past year has seen General Motors make considerable strides toward the achievement of the broadened public expectations in areas of social concern," Roche said.

Roche also said he is very concerened about foreign competition and said that "if our country is to maintain its place in the markets of the world, we must, all of us, work harder."

Foreign competition, Roche added, have "markedly lower wage rates" and to offset the gap "we in the United States must increase our productivity to bring it into balance with wage increases."

Labor pay increases for March

OTTAWA (CP) — Labor income rose to $4,032 million in March this year, 7.3 per cent higher than $3,759 million in March last year, the Dominion Bureau of Statistics reported.

The figures include wages and salaries paid in all industries, plus supplementary labor income such as unemployment insurance benefits. They do not, however, include military pay and allowances.

There was a one per cent increase in total labor income in the month, from $3,989 million in February to $4,032 million in March.

But taking seasonal factors into account, DBS said the increase for the first three months of 1971 — 1.9 per cent — was half a percentage point less than that which occurred during the previous three months.

The increase in October, November and December last year was unusually high, and the increase for January, February and March was about the same as for most of 1970.

March figures

Chartered bank assets increase

The assets of Canada's nine chartered banks rose 1.7 per cent during March, reaching a total of $47.6 billion on March 31, compared to $46.8 billion at the end of February.

Figures prepared by the Canadian Bankers' Association show the Royal Bank of Canada remained the largest in the country, with assets of $11.9 billion, followed by the Canadian Imperial Bank of Commerce with $10.3 billion. Assets of each of the two top banks grew 1.6 per cent during the month.

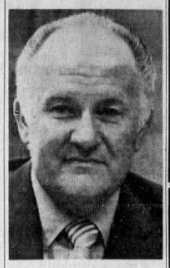
The bank of B.C. remained the smallest in the country, although its assets grew 2.4 per cent from $127 million to $130 million.

For the industry, day, call and short loans dropped 10.5 per cent from $1,388 million to $1,153 million.

All other loans rose 1.6 per cent, accounting for $23.5 billion or just under half the assets of all nine banks at the end of March.

More business news, P. 22-25

APPOINTMENT



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